VC10X

VC10X PLAYBOOK · QUESTION BANK

LP Due Diligence Question Bank

40 questions allocators use to evaluate venture fund managers, organized by the eight tests LPs run before they commit.

From the VC10X playbook *How LPs Evaluate Venture Fund Managers*, built from on-record conversations with twelve allocators.

If you're an LP

Bring it to manager meetings. Score each test from 1 to 5 and compare managers on the summary page, or online at vc10x.com/manager-scorecard.

If you're raising a fund

Answer every question before your first LP meeting. The ones you can't answer are your work list.

Read the full playbook: vc10x.com/playbooks/how-lps-evaluate-venture-fund-managers

AT A GLANCE

The eight tests

A manager doesn't need a perfect score on all eight, but a clear fail on any one usually ends the conversation.

#	TEST	WHAT THE LP IS REALLY ASKING	WHAT PASSES
1	**Focus**	Why will you win?	A narrow focus and an advantage you can prove
2	**Picking**	Can you choose, not just see?	Clear reasoning on the deals you passed on
3	**Skill or luck**	Will it happen again?	A deal-by-deal story that matches your strategy
4	**Attribution**	Is the record really yours?	References that confirm your actual role
5	**Fund construction**	Does the fund fit the strategy?	Earned ownership and a size planned around it
6	**People**	Would I want you beside me in a crisis?	Behavior, not promises, that shows alignment
7	**The numbers**	What's behind the IRR?	Clean cash flows, conservative marks, a liquidity plan
8	**Conviction**	Is this expertise or a trend?	Evidence you were there before the theme got hot

Take them off script

Read the materials first, skip the pitch, and choose the companies to discuss yourself.

Verify, don't accept

Find at least one reference yourself, outside the list the manager gives you.

Score as you go

1 = clear fail, 3 = acceptable with gaps, 5 = strong evidence. Note why.

TEST 1 OF 8

Focus

Why will you win?

SCORE

1 2 3 4 5

What passes: A narrow focus and an advantage you can prove

1 In one sentence, what is your focus, and why are you the right team for it?

2 Why should the best founders in your area choose you over the five to ten funds they'll also speak with?

3 What evidence shows your advantage works: competitive rounds won, founders who referred others?

4 Which part of the market are you deliberately not pursuing, and why?

TEST 2 OF 8

Picking

Can you choose, not just see?

SCORE

1 2 3 4 5

What passes: Clear reasoning on the deals you passed on

5 Tell me about a company you passed on. Why, and what happened?

6 Tell me about a company where you chose not to invest more. What did you see?

7 In your best deals, why did the founder choose you over other investors?

8 In competitive rounds you lost, why did the founder pick someone else?

9 What did you do for a company in its first year that another investor couldn't have?

TEST 3 OF 8

Skill or luck

Will it happen again?

SCORE 1 2 3 4 5

What passes: A deal-by-deal story that matches your strategy

10 Walk me through one investment: how it was sourced, how competitive the round was, and what the thesis was.

11 Walk me through a company that failed. What did you learn, and what changed?

12 Which of your best outcomes came from the strategy, and which were luck?

13 Where have you deviated from your thesis, and why?

14 How will this strategy hold over your next three funds, not just this one?

TEST 4 OF 8

Attribution

Is the record really yours?

SCORE 1 2 3 4 5

What passes: References that confirm your actual role

15 For each deal in your record, what was your specific role: sourcing, leading, board work?

16 Who at your prior firm can confirm that role?

17 Which founders can we speak to without you arranging the call?

18 How do your angel or prior-firm investments relate to this fund's strategy?

19 How will you build the team, brand and processes (compliance, administration, audit) of a standalone firm?

TEST 5 OF 8

Fund construction

Does the fund fit the strategy?

SCORE

1 2 3 4 5

> **What passes:** Earned ownership and a size planned around it

20 How did you arrive at this fund size, and what would make it too big?

21 What ownership do you target at entry, and how do you earn it?

22 How many companies will you back, and how many can each partner really support?

23 What is your reserve strategy, and who decides where follow-on capital goes?

24 How will the portfolio look five steps ahead: at fund three, or at exit?

TEST 6 OF 8

People

Would I want you beside me in a crisis?

SCORE

1 2 3 4 5

What passes: Behavior, not promises, that shows alignment

25 How do partners split economics and decisions, and how will that change as you grow?

26 Who might you hire next, at what level, and how will they fit the culture?

27 How much are the partners committing, and is it cash or a fee waiver?

28 How large is the management fee budget relative to what the firm needs?

29 Describe a decision the partners disagreed on. How was it resolved?

TEST 7 OF 8

The numbers

What's behind the IRR?

SCORE

1 2 3 4 5

What passes: Clean cash flows, conservative marks, a liquidity plan

30 Do you use a subscription credit line? Show IRR with and without it.

31 What are TVPI, DPI and multiple of invested capital by fund, not just IRR?

32 For each exit, how did the sale price compare with your last valuation?

33 Which unrealized companies drive the value, and what are their growth and burn today?

34 When do you expect to return capital, and what leading indicators support that?

35 Have you sold partial positions, used secondaries or run a GP-led process? What's your policy?

36 Does the liquidity of your portfolio match the liquidity of your LP terms?

TEST 8 OF 8

Conviction

Is this expertise or a trend?

SCORE 1 2 3 4 5

> **What passes:** Evidence you were there before the theme got hot

37 When did you first invest in, research or write about your theme?

38 Which founders and experts in the space would vouch for you?

39 For each company in a hot theme, what is its moat, in one sentence?

40 If your theme cooled, what would remain of your edge?

SUMMARY

Compare managers

Copy each test score here. Look at the weakest test as closely as the total: one clear fail usually matters more than a high average.

#	TEST	MANAGER A	MANAGER B	MANAGER C
1	Focus			
2	Picking			
3	Skill or luck			
4	Attribution			
5	Fund construction			
6	People			
7	The numbers			
8	Conviction			
	Total (out of 40)			

Built from conversations with

Tom Duffy Director, Private Markets, TIFF

Iren Reznikov Partner, Vintage Investment Partners

Hunter Somerville Partner, StepStone Group

Jessie Jia Guo Investment Partner, Next Legacy Partners

Ned Brines Chief of Investment Strategy, Arnel & Affiliates

Matt Curtolo Former Institutional Allocator; LP/GP Advisor

Aoifinn Devitt Managing Director, Global Wealth, Moneta Group

Slava Darkhaev Head of VC Allocations, Single-Family Office

Jeffrey Blazek Co-CIO, Multi-Asset, Neuberger

Dave White Founder, Wayfinder Advisors; former MD, Cambridge Associates

Lara Nuchowicz Principal, AR Capital (Single-Family Office)

Vishal Verma Principal, Edgewood Ventures (Single-Family Office)

Keep going

The full playbook vc10x.com/playbooks/how-lps-evaluate-venture-fund-managers

Venture Manager Scorecard vc10x.com/manager-scorecard

Fundraising Readiness Audit vc10x.com/fundraising-audit

LP Fit Audit vc10x.com/lp-fit-audit

Fund Performance Calculator vc10x.com/fund-performance-calculator

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